NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL, RUMOMASI

TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: SEVEN

CLASS: SS1 SUBJECT: Economics

TOPIC: Demand

Introduction

- Demand is the quantity of a commodity that consumers are willing and able to buy at a given price over a given period. The law of demand states that the higher the price, the lower the quantity demanded, other things being equal.

Types of demand

- **Composite demand** — a commodity demanded for several uses (milk for drinking, butter, cheese).
- **Competitive (competing) demand** — close substitutes (groundnut oil and palm oil).
- **Joint (complementary) demand** — goods demanded together (car and petrol).
- **Derived demand** — demanded for producing another good (labour for wheat farming).

Determinants of demand (shift factors)

- Price of the commodity; prices of substitutes and complements; consumers' income; tastes and fashion; population; expectations of future prices; seasons and weather. A change in any of these shifts the whole demand curve.

Demand schedule and curve

- A demand schedule is a table of prices and quantities; the demand curve slopes downward from left to right, showing the inverse relationship.

CLASS EVALUATION

1. State the law of demand.
2. Differentiate between composite and joint demand.
3. List four factors that shift the demand curve.
4. Why does the demand curve slope downward?

NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL, RUMOMASI

TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: EIGHT

CLASS: SS1 SUBJECT: Economics

TOPIC: Supply

Introduction

- Supply is the quantity of a commodity that producers are willing and able to offer for sale at a given price over a given period. The law of supply: the higher the price, the higher the quantity supplied.

Types of supply and determinants

- Supply may be joint (wool and mutton), composite or competitive. Determinants of supply: the price of the commodity; cost of production (inputs); technology; weather and seasons; government policy (taxes, subsidies); aims of the producer; number of producers; and expectations. A rise in costs shifts supply left; better technology shifts it right.

The supply curve

- It slopes upward from left to right, showing the direct relationship between price and quantity. The supply schedule tabulates prices against quantities producers will offer.

CLASS EVALUATION

1. State the law of supply.
2. Explain how a fall in the cost of production affects the supply curve.
3. Distinguish between supply and the quantity supplied.
4. Give two determinants of supply.

NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL, RUMOMASI

TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: NINE

CLASS: SS1 SUBJECT: Economics

TOPIC: Market Equilibrium

Introduction

- The market is in equilibrium when the quantity demanded equals the quantity supplied at a particular price — the market clears. The equilibrium price is where the demand and supply curves intersect.

Equilibrium price and quantity

- Above equilibrium price there is excess supply (surplus) which pushes price down; below it there is excess demand (shortage) which pushes price up. At equilibrium there is no tendency for the price to change.

Changes in equilibrium

- A shift of the demand curve (income, tastes) or the supply curve (costs, weather) changes the equilibrium price and quantity. For example, a drought shifts the food supply curve left: price rises and quantity falls.

Consumer and producer surplus

- Consumer surplus is the difference between what consumers are willing to pay and what they actually pay; producer surplus is the difference between what producers receive and the minimum they would accept.

CLASS EVALUATION

1. Define equilibrium price.
2. What happens when the price is fixed above the equilibrium?
3. Explain how a bumper harvest affects the equilibrium price of maize.
4. Define consumer surplus.

NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL, RUMOMASI

TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: TEN

CLASS: SS1 SUBJECT: Economics

TOPIC: Elasticity of Demand

Introduction

- Elasticity of demand measures the responsiveness of quantity demanded to a change in price, income or the price of related goods. Price elasticity of demand (PED) is the most commonly used.

Price elasticity of demand

- PED = % change in quantity demanded ÷ % change in price.
- If PED > 1 — elastic demand (a small price change causes a large change in quantity; luxuries respond this way).
- If PED < 1 — inelastic demand (necessities: salt, bread, medicine).
- If PED = 1 — unitary elasticity; if 0 — perfectly inelastic; if infinite — perfectly elastic.

Types of elasticity

- **Income elasticity** — response to a change in income (inferior goods have negative income elasticity).
- **Cross elasticity** — response to a change in the price of another good: positive for substitutes, negative for complements.

Importance to the producer/state

- It guides pricing decisions (raising price on an inelastic good increases revenue), wage policy, taxation (indirect taxes raise more from inelastic goods) and devaluation policy.

CLASS EVALUATION

1. Define price elasticity of demand and give its formula.
2. Why is the demand for salt inelastic?
3. Explain cross elasticity for substitutes.
4. How does elasticity guide a government in imposing indirect taxes?

NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL, RUMOMASI

TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: ELEVEN

CLASS: SS1 SUBJECT: Economics

TOPIC: Elasticity of Supply & Applications

Introduction

- Elasticity of supply (PES) measures the responsiveness of quantity supplied to a change in price. PES = % change in quantity supplied ÷ % change in price.

Determinants and degrees

- Supply is elastic (PES > 1) when producers can respond quickly (spare capacity, short production period, storability); inelastic (PES < 1) when production takes long (perennial crops, landed property), resources are fixed, or storage is poor. Agricultural produce has inelastic supply in the short run because of the long gestation period.

Applications of elasticity

- **Cobweb theorem** — price oscillations in agriculture because supply responds with a lag (farmers plant more when prices are high; the next season's glut lowers prices).
- **Tax incidence** — the burden of an indirect tax falls more on the side that is more inelastic; **price controls** work best on elastic goods; **devaluation** improves exports when foreign demand is elastic.

CLASS EVALUATION

1. Define elasticity of supply.
2. Why is the supply of cocoa inelastic in the short run?
3. Explain the cobweb phenomenon.
4. State two uses of the concept of elasticity.

NAME OF SCHOOL: MATER MISERICORDIAE SECONDARY SCHOOL, RUMOMASI

TERM: SECOND 2026/2027 ACADEMIC SESSION

WEEK: TWELVE

CLASS: SS1 SUBJECT: Economics

TOPIC: Price Control & The Commodity Market

Introduction

- Price control is the fixing of maximum or minimum prices by the government. It interferes with the free interplay of demand and supply — used for essentials during shortages (maximum price) or to protect producers (minimum price).

Maximum price (price ceiling)

- Fixed below the equilibrium price, e.g. on bread, rent or fuel: it creates **excess demand (shortage)**, queues, black markets and rationing; producers may reduce supply. It helps consumers but hurts producers.

Minimum price (price floor)

- Fixed above the equilibrium price, e.g. minimum wage, guaranteed farm prices (the cocoa marketing boards of the past): it creates **excess supply (surplus)**, which the government may buy and stock, or subsidise. It protects producers and farm incomes, but costs the state.

Effects and lessons

- Controls work only with the effective enforcement of supply, storage and distribution; otherwise scarcities and smuggling follow. The Nigerian experience (fuel subsidy debates, farm produce boards) shows both the benefits and the costs.

CLASS EVALUATION

1. Define price control.
2. What happens when a maximum price is fixed below the equilibrium?
3. Give two effects of a minimum price.
4. Why do price controls often lead to black markets?